FUNDA REPORT

Preview|Delta 26Q3: Supply Shortages May Persist into 27H1; Long-Term Competitiveness Intact

摘要

Delta 26Q3 revenue of NT$197.1bn missed expectations as power semiconductor shortages limited Power Electronics growth to 11% QoQ, and constraints may persist into 27H1. FUNDA cuts 2026/27/28E EPS to NT$39.31/67.65/92.09, but expects 26Q4 revenue +12.5% QoQ and margin recovery from price pass-through. Long-term competitiveness remains intact, with HVDC ramp in 27Q1 and Infineon capacity additions key catalysts.

Executive Summary

1. Delta 26Q3 revenue of NT$197,059mn (+7.5% QoQ, +31.1% YoY, sum of reported monthly sales) came in below both FUNDA (NT$212,621mn, -7.3%) and consensus (NT$206,875mn, -4.7%), and short of mgmt.'s early-26Q3 guidance for double-digit QoQ growth. The shortfall was concentrated in Power Electronics (only +11% QoQ), constrained by power semis supply. We estimate 26Q3 GPM of 35.8% (+20bps QoQ; vs. consensus 36.1%), OPM of 18.1% (+140bps QoQ; in line with consensus) and EPS of NT$9.90 (vs. consensus NT$10.61, -6.7%). The October 29 analyst meeting will focus on shortages and HVDC progress, and we expect management to remain conservative: 26Q4 revenue up double digits QoQ (FUNDA +12.5% QoQ to NT$221,692mn; vs. consensus NT$225,376mn), with GPM improving more visibly as price pass-through takes effect.
2. Reflecting actual 26Q3 revenue and supply constraints that extend into 27H1, we reduce 2026/27/28E revenue by 4.8%/10.1%/4.5% and revise EPS to NT$39.31/67.65/92.09 (vs. previous NT$45.47/76.70/100.87; vs. consensus NT$40.47/64.33/101.28). Delta's long-term competitive position remains intact: at the October 22 close of NT$1,560, the stock trades at 23.1x FY27E / 16.9x FY28E P/E. Near-term developments to watch include gradual price pass-through, new Infineon capacity coming online from 26Q4, and qualification of additional suppliers.

Supply Constraints Remain in Focus; Outlook Likely Conservative

- 26Q3 revenue missed expectations, primarily because Power Electronics grew only 11% QoQ. Revenue fell 3.7% MoM in August 2026 and rose just 1.3% MoM in September. **Supply remains the main bottleneck**, while demand appears supportive.
- Shortages are concentrated in three areas: **power semis** (mainly Infineon high-end MOSFETs and power stages, with tightness extending to SiC, HV components, controller ICs and MCUs); **PCB** (upstream CCL, glass fabric and copper foil shortages have stretched lead times to 52 weeks, including for mid- and low-end boards); and **high-capacitance MLCC** (Samsung and Murata capacity is largely committed to North American customers, while yields on China-made parts remain insufficient).

- Our supply chain checks suggest **constraints may persist into 27H1**, with supply likely to recover gradually.
- Delta's three-year supply agreement with Infineon takes effect in 27Q1, covers all product categories and is subject to an aggregate volume cap. Management reports no double booking, given that most products are customized and require firm customer commitments.
- Procurement is also qualifying STM and onsemi, while adding WUS alongside Victory Giant for **PCB** sourcing. These alternatives will take time to contribute, so 27H1 supply is still likely to depend primarily on Infineon deliveries.
- At the analyst meeting, we expect management to emphasize supply constraints alongside resilient demand, potentially guiding for at least 10% QoQ revenue growth in 26Q4 (FUNDA: +12.5% QoQ). Some 26H2 orders may shift into 27H1. We do not expect a firm or particularly optimistic timetable for resolving the shortages.

HVDC Demand Remains Strong; Ramp Timing Slips Slightly

- Demand remains strong. Google's Edison car (±400V, 900kW) is the most advanced CSP project, and HVDC accounts for about 1% of Delta's 2026E revenue (a few hundred racks). Meta and MSFT are pursuing ±400V designs, while AWS is developing an 800V, 1.5MW sidecar for limited volume in 27Q4.
- On 800V, NVIDIA presented its VR200 800V sidecar at OCP, but CSPs continue to favor lower-voltage designs because of cost and supply-chain maturity. Meaningful 800V orders have yet to emerge; Rubin Ultra could become a catalyst from 27H2 onward.
- The main uncertainty is ramp timing. Customer samples still face technical issues, and the ±400V program is also affected by component shortages. We therefore expect the **±400V sidecar ramp to move from 26Q4 to 27Q1**.
- Supply chain checks indicate 2027E HVDC demand from Google, MSFT and Meta could exceed 20,000 racks. Delta's share will depend on delivery capacity, with Vertiv a key competitor offering a similarly broad solution. Management estimates 20%–30% of XPUs could adopt HVDC by end-27Q4, depending on the progress of an individual customer.
- HVDC offers Delta **higher value per watt**: a sidecar carries roughly **3x the value** of an in-rack PSU. PSUs also incorporate liquid cooling for the first time, including cold plates, manifolds and quick disconnects. As ±400V and 800V offer similar value per watt, Delta can serve either architecture.
- HVDC remains a potential 2027E revenue driver, with **materials availability and delivery capacity** the main constraints. Delayed sidecar shipments also mean in-rack PSU demand is replaced later, rather than disappearing immediately.

Margins: Three Near-Term GPM Headwinds; OPM Improvement More Pronounced

- We forecast 26Q3 GPM of 35.8% (+20bps QoQ, +100bps YoY) and OPM of 18.1% (+140bps QoQ, +160bps YoY), followed by 26Q4 GPM of 35.9% and OPM of 19.7%.

- GPM is below consensus of 36.1%/36.7%, reflecting three pressures.

1. Component imbalances have left surplus inventory that may require write-downs; the effect should be limited. The 26Q3 PSU capacitor recall charge is expected to be recovered from the supplier in 26Q4, leaving no net impact.
2. Most importantly, input costs are rising: power semis prices increased in 26Q2 and may rise again in 26Q4, while MLCC and PCB expedite fees add to costs. Delta's price pass-through to customers lags by three to five months.
3. The Vera Rubin delay affects product mix: higher-margin products such as the 18.5kW PSU, HVDC sidecar and VPD are now expected to ramp in 26Q4, leaving 26Q3 weighted toward older products with available components.

- OPM gains are driven mainly by operating leverage, with opex at 17.8% of revenue in 26Q3E, down 120bps from 26Q2. This is consistent with management's view that near-term profitability improvement will be led by OPM, while GPM benefits from price pass-through later. A more visible GPM recovery may require pricing, supply and product mix to improve together in 27Q1.

Long-Term Product Positioning and Near-Term Watch Points

- **Delta's position across power products remains solid.** In AC/DC, Delta and Lite-On are key suppliers of high-end GPU PSUs, with the 18.5kW PSU expected to ramp in 26Q4. DC/DC is Delta's highest-margin product line; 26H1 revenue of NT$20.7bn already exceeded the full-year 2025 total. Supply chain checks suggest Google accounts for roughly 70% of Delta's 2027E DC/DC target. Meta, AWS and AMD have adopted small VPD modules, while NVIDIA is working with Delta on 2/4-phase modules and an 800V PDB for Vera Rubin Ultra. AWS IRHx could support liquid-cooling growth in 2027E. The 10MW SST sample is scheduled for 26Q4, with UL certification targeted for 27Q1, while liquid-cooled PSUs will be introduced alongside HVDC sidecars.
- **Delta's broad portfolio should support its competitive position as the industry moves toward native 800V architectures.** An 800V system requires CDUs, BBUs and other supporting components in addition to HVDC power racks. In North America, Delta and Vertiv are among the suppliers with broad end-to-end offerings. SST addresses front-end voltage transformation rather than replacing HVDC. HVDC may eventually evolve toward 1,600V, and Delta has products across these stages.
- **Three developments warrant attention in the short to medium term:** (1) gradual realization of price increases, with management indicating a three-to-five-month lag and pass-through beginning in 26Q4; (2) additional Infineon capacity from 26Q4, including equipment for Dresden Module 4 arriving from FY1Q27 and expansions at Villach and Kulim, although we expect capacity to remain well below demand; and (3) qualification of additional suppliers to reduce reliance on a single IDM.

Analyst Meeting Expectations and What We're Watching

- We expect management to retain its measured guidance style at the upcoming meeting, emphasizing supply constraints and visibility into 2027E orders. Management sees strong 2027E order visibility and

relatively favorable material allocation, although margins could still disappoint in the near term for the reasons discussed above.

- The share price has declined from NT$1,965 on October 8 to NT$1,560 (−21%), potentially reflecting some of the revenue miss and concerns about the Vicor Section 337 investigation. Improved supply and an HVDC ramp in 27Q1 could support a valuation reassessment over 26Q4–27Q1.

Financial Forecast Revisions

- We reduce 2026/27/28E revenue by 4.8%/10.1%/4.5% to NT$761,359mn/1,096,761mn/1,489,092mn, reflecting actual 26Q3 revenue and supply constraints expected to continue into 27H1. We forecast 26Q4E revenue of NT$221,692mn (+12.5% QoQ) and 27Q1E growth of 4.6% QoQ as deferred 26H2 orders are gradually fulfilled.
- GPM: we revise 26Q3/26Q4E from 36.3%/37.1% to 35.8%/35.9%, and forecast 36.1%/37.0%/36.6% for 2026/27/28E.
- OPM: we revise 26Q3/26Q4E from 20.2%/21.6% to 18.1%/19.7%, and forecast 18.2%/21.6%/21.6% for 2026/27/28E.
- EPS: we revise 2026/27/28E from NT$45.47/76.70/100.87 to **NT$39.31/67.65/92.09**, or −2.9%/+5.2%/−9.1% versus consensus. At the October 22 close of NT$1,560, the stock trades at 23.1x FY27E / 16.9x FY28E P/E.

Figure 1: FUNDA Financial Forecasts (NT$mn)

NT$mn	25Q4	26Q1	26Q2	26-Q3E	26-Q4E	27-Q1E	27-Q2E	27-Q3E	27-Q4E	2025	2026-E	2027-E	2028-E
Revenue	**161,613**	**159,353**	**183,256**	**197,059**	**221,692**	**231,885**	**261,195**	**287,628**	**316,053**	**554,885**	**761,359**	**1,096,761**	**1,489,092**
QoQ	7.5%	-1.4%	15.0%	7.5%	12.5%	4.6%	12.6%	10.1%	9.9%				
YoY	41.5%	34.0%	47.7%	31.1%	37.2%	45.5%	42.5%	46.0%	42.6%	31.8%	37.2%	44.1%	35.8%
Gross profit	55,903	58,961	65,308	70,604	79,660	84,946	96,436	106,672	117,470	190,157	274,533	405,523	545,632
GPM	34.6%	37.0%	35.6%	35.8%	35.9%	36.6%	36.9%	37.1%	37.2%	34.3%	36.1%	37.0%	36.6%
Operating profit	**26,418**	**28,417**	**30,570**	**35,621**	**43,759**	**48,973**	**56,383**	**62,026**	**69,565**	**83,932**	**138,368**	**236,948**	**321,076**
OPM	16.3%	17.8%	16.7%	18.1%	19.7%	21.1%	21.6%	21.6%	22.0%	15.1%	18.2%	21.6%	21.6%
Net income	**17,324**	**20,556**	**25,136**	**25,710**	**30,712**	**36,849**	**42,171**	**46,089**	**50,610**	**60,108**	**102,113**	**175,718**	**239,199**
NPM	10.7%	12.9%	13.7%	13.0%	13.9%	15.9%	16.1%	16.0%	16.0%	10.8%	13.4%	16.0%	16.1%
EPS (NT$)	**6.67**	**7.91**	**9.68**	**9.90**	**11.82**	**14.19**	**16.23**	**17.74**	**19.48**	**23.14**	**39.31**	**67.65**	**92.09**

Note: E = FUNDA estimates.

Source: Delta monthly revenue release (October 12, 2026); Delta IR meetings (26Q3, 26Q4); FUNDA supply chain interviews (September 4, October 5 and October 22, 2026); OCP Global Summit 2026; consensus: Visible Alpha for 26Q3 (October 26, 2026) and other periods (October 19, 2026); share price as of the October 22, 2026 close; FUNDA estimates.

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